The key insight of agency theory boils down to this: the agent is out to screw you, not because the agent dislikes you but because the agent is human and therefore cares first and foremost about himself. As asset owner, you recognize this and can design a system (a management structure, a contract, or a governance system) that can mitigate these effects, and in the best case the tendencies of the agent to enrich himself work to your advantage. For example, you know the agent wants to maximize his own profit, so you allow him to earn some in a way that increases your earnings (the outcome-based contract). Another example: you pay enough so that the best agents come work for you, but you make sure they are adding value for your portfolio and not for their own (the behavior-based contract). Agency theory is about recognizing the conflicts between the principal and agent and working with the agent in the presence of these conflicts to enhance the principal's interests.

What if you don't get the contract right? Well, as Martin Wolf said, "With the 'right' fee structure mediocre investment managers may become rich as they ensure that their investors cease to remain so."[7]

3. Delegated Portfolio Management

We now turn to the special set of agency issues in delegated portfolio management.

Asset management generally has multiple principal-agency issues, many of them in conflict with each other. Consider the principal-agent relationships involved in NYSCRF summarized in Figure 15.1. In relationship (1), the comptroller is the sole trustee of the fund, and so is the agent of beneficiaries, who are the asset owners. The comptroller is responsible for overseeing internal fund managers and selecting external fund managers in relationship (2), and these agents are better informed than the comptroller (adverse selection), and the comptroller cannot observe their efforts in running the fund 100% of the time (moral hazard). The comptroller is aided by consultants, but this adds another agency dimension—relationship (3) between the comptroller as principal and the consultant as agent. The consultants themselves, in relationship (4), may be principals in their dealings with fund managers, like those employed to search and screen for best-in-class fund managers.

The taxpayer lurks in the background and is actually the ultimate principal. Government, through the taxpayer, hires the public sector employees—relationship (5). NYSCRF, like many public funds, targets certain economic priorities deemed to be important by the state. The fund, for example, takes a special investment interest in New York businesses. Thus, in some cases, the

[7] Wolf, M., "Why Today's Hedge Fund Industry May Not Survive," *Financial Times*, March 18, 2008.